

# ISyE 3770 HW7

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## Problem 7.2.6

We begin by calculating the standard error of the sample mean:

$$SE = \frac{\sigma}{\sqrt{(n)}} = \frac{1.5}{\sqrt{49}} = 0.2143 \text{ minutes}$$

We then calculate the Z score:

$$Z = \frac{\bar{X} - \mu}{SE}$$

### Part A

$$Z = \frac{10 - 8.2}{0.2143} = 8.4$$

We observe that 8.4 standard deviations above the mean is high and therefore, the probability of  $Z = 8.4$  is approximately 1.

Thus, we have  $P(\bar{X} < 10) \approx 1$ .

### Part B

$$Z_u = \frac{5 - 8.2}{0.2143} = -14.93$$
$$Z_l = \frac{10 - 8.2}{0.2143} = 8.4$$

Since  $Z = -14.93$  is very low and  $Z = 8.4$  is very high, the probability between these two scores is approximately one.

Therefore, we have:  $P(5 < \bar{X} < 10) \approx 1$ .

### Part C

$$Z = \frac{6 - 8.2}{0.2143} = -10.27$$

Since  $Z = -10.27$  is very low, the probability corresponding to this Z-Score is approximately zero.

Therefore, we have  $P(\bar{X} < 6) \approx 0$ .

### 7.3.7

#### Part A

We observe  $\bar{X} = \frac{\sum_{i=1}^n x_i}{n}$ , with  $n=24$ .

Therefore, we have the following:

$$\sum_{i=1}^n x_i = 10160$$

```
oxide_thickness <- c(425, 431, 416, 419, 421, 436, 418, 410, 431, 433,  
                    423, 426, 410, 435, 436, 428, 411, 426, 409, 437,  
                    422, 428, 413, 416)
```

```
sum(oxide_thickness)
```

```
## [1] 10160
```

$$\bar{X} = \frac{10160}{24} = 423.33 \text{ angstroms}$$

#### Part B

$$s = \sqrt{\frac{\sum_{i=1}^n (x_i - \bar{X})^2}{n - 1}}$$

```
oxide_thickness <- c(425, 431, 416, 419, 421, 436, 418, 410, 431, 433,  
                    423, 426, 410, 435, 436, 428, 411, 426, 409, 437,  
                    422, 428, 413, 416)
```

```
mean_oxide_thickness <- mean(oxide_thickness)  
sum((oxide_thickness - mean_oxide_thickness)^2)
```

```
## [1] 1897.333
```

$$s = \sqrt{\frac{1897.33}{24 - 1}} = 9.082 \text{ angstroms}$$

#### Part C

$$SE = \frac{s}{\sqrt{n}}$$

$$SE = \frac{9.082}{\sqrt{24}} = 1.854 \text{ angstroms}$$

#### Part D

When we organize the set, we find the 12th value is 423 and the 13th value is 425. Therefore, we have the following:

$$median = \frac{423 + 425}{2} = 424 \text{ angstroms}$$

### Part E

We define  $p$  to be the following:

$$p = \frac{(\# \text{ wafers with thickness} > 430)}{n}$$

Therefore, we have  $p = \frac{7}{24} = 0.2917$ .

### Problem 7.3.9

#### Part A

We wish to show  $E[\bar{X}_1 - \bar{X}_2] = \mu_1 - \mu_2$ .

Since  $\bar{X}_1$  is the sample mean for population 1, we have  $E[\bar{X}_1] = \mu_1$ . Population 2 follows this same trend:  $E[\bar{X}_2] = \mu_2$ .

Therefore, we see the following:

$$E[\bar{X}_1 - \bar{X}_2] = E[\bar{X}_1] - E[\bar{X}_2] = \mu_1 - \mu_2$$

We find  $\bar{X}_1 - \bar{X}_2$  is an unbiased estimator of  $\mu_1 - \mu_2$ .

#### Part B

We find the following:

$$\begin{aligned} \text{Var}[\bar{X}_1] &= \frac{\sigma_1^2}{n_1} \\ \text{Var}[\bar{X}_2] &= \frac{\sigma_2^2}{n_2} \end{aligned}$$

We find the variance of the difference of two ind. estimators is the sum of their variances.

$$\text{Var}[\bar{X}_1 - \bar{X}_2] = \text{Var}[\bar{X}_1] + \text{Var}[\bar{X}_2] = \frac{\sigma_1^2}{n_1} + \frac{\sigma_2^2}{n_2}$$

$$SE[\bar{X}_1 - \bar{X}_2] = \sqrt{\text{Var}[\bar{X}_1] + \text{Var}[\bar{X}_2]} = \sqrt{\frac{\sigma_1^2}{n_1} + \frac{\sigma_2^2}{n_2}}$$

We can estimate the standard error using the sample variances  $S_1^2$  and  $S_2^2$  in place of  $\sigma_1^2$  and  $\sigma_2^2$ .

#### Part C

For each sample variance, we have the following:

$$E[S_i^2] = \sigma^2, \text{ for } i = 1, 2$$

We further compute the expected value:

$$E[(n_1 - 1)S_1^2 + (n_2 - 1)S_2^2] = (n_1 - 1)E[S_1^2] + (n_2 - 1)E[S_2^2]$$

With simple substitution, we have the following:

$$(n_1 - 1)\sigma^2 + (n_2 - 1)\sigma^2 = ((n_1 - 1) + (n_2 - 1))\sigma^2 = (n_1 + n_2 - 2)\sigma^2$$

Finally, we have:

$$E[S_p^2] = \frac{E[(n_1 - 1)S_1^2 + (n_2 - 1)S_2^2]}{n_1 + n_2 - 2} = \frac{(n_1 + n_2 - 2)\sigma^2}{n_1 + n_2 - 2} = \sigma^2$$

Therefore, we find  $S_p^2$  is an unbiased estimator of  $\sigma^2$  when  $\sigma_1^2 = \sigma_2^2 = \sigma^2$ .

### Problem 7.3.11

#### Part A

We wish to show  $E[\frac{X_1}{n_1} - \frac{X_2}{n_2}] = p_1 - p_2$ .

Since  $X_1$  and  $X_2$  follows a binomial distribution, we have the following:

$$E[\frac{X_1}{n_1}] = \frac{E[X_1]}{n_1} = \frac{n_1 p_1}{n_1} = p_1$$
$$E[\frac{X_2}{n_2}] = \frac{E[X_2]}{n_2} = \frac{n_2 p_2}{n_2} = p_2$$

We compute the following:

$$E[\frac{X_1}{n_1} - \frac{X_2}{n_2}] = E[\frac{X_1}{n_1}] - E[\frac{X_2}{n_2}] = p_1 - p_2$$

Therefore, we find  $\frac{X_1}{n_1} - \frac{X_2}{n_2}$  is an unbiased estimator of  $p_1 - p_2$ .

#### Part B

$$Var[\hat{p}_1] = \frac{p_1(1-p_1)}{n_1}$$
$$Var[\hat{p}_2] = \frac{p_2(1-p_2)}{n_2}$$

We take the variance of the difference to have:

$$Var[\hat{p}_1 - \hat{p}_2] = Var[\hat{p}_1] + Var[\hat{p}_2] = \frac{p_1(1-p_1)}{n_1} + \frac{p_2(1-p_2)}{n_2}$$

Therefore, we have a standard error of:

$$SE = \sqrt{Var[\hat{p}_1 - \hat{p}_2]} = \sqrt{\frac{p_1(1-p_1)}{n_1} + \frac{p_2(1-p_2)}{n_2}}$$

#### Part C

We replace  $p_1$  and  $p_2$  with  $\hat{p}_1$  and  $\hat{p}_2$  which are the sample proportions to result in:

$$SE_{estimate} = \sqrt{\frac{\hat{p}_1(1-\hat{p}_1)}{n_1} + \frac{\hat{p}_2(1-\hat{p}_2)}{n_2}}$$

It is important we define  $\hat{p}_i = \frac{X_i}{n_i}$ .

#### Part D

We compute the sample proportions:

$$\text{ASU: } \hat{p}_1 = \frac{X_1}{n_1} = \frac{150}{200} = 0.75$$

$$\text{VT: } \hat{p}_2 = \frac{X_2}{n_2} = \frac{185}{250} = 0.74$$

Therefore, an estimate of  $p_1 - p_2$  is the following:

$$\hat{p}_1 - \hat{p}_2 = 0.75 - 0.74 = 0.01$$

## Part E

We compute each variance component:

$$\text{Var}[\hat{p}_1] = \frac{0.75(0.25)}{200} = 0.0009375$$

$$\text{Var}[\hat{p}_2] = \frac{0.74(0.26)}{250} = 0.0007696$$

Therefore, we have:

$$\text{Var}[\hat{p}_1 - \hat{p}_2] = 0.0009375 + 0.0007696 = 0.0017071$$

Which means the standard error is  $\sqrt{0.0017071} = 0.04132$ .

### Problem 7.4.1

We define  $L(p)$  as the following:

$$L(p) = \prod_{i=1}^n f(X_i) = \prod_{i=1}^n p(1-p)^{X_i-1}$$

Simplifying the product:

$$L(p) = p^n \times \prod_{i=1}^n (1-p)^{X_i-1} = p^n (1-p)^{\sum_{i=1}^n (X_i-1)} = p^n (1-p)^{S-n}$$

where  $S = \sum_{i=1}^n X_i$ .

We now take the natural log:

$$\ell(p) = \ln L(p) = n \ln p + (S-n) \ln(1-p)$$

Now, we take the derivative with respect to  $p$ :

$$\frac{d\ell(p)}{dp} = \frac{n}{p} - \frac{S-n}{1-p}$$

Finally, we set the derivative equal to zero:

$$\frac{n}{p} - \frac{S-n}{1-p} = 0$$

$$n(1-p) - (S-n)p = 0$$

$$n - np - Sp + np = n - Sp = 0$$

$$n = Sp \quad \Rightarrow \quad \hat{p} = \frac{n}{S}$$

Therefore, we arrive at our final answer of:

$$\hat{p} = \frac{n}{\sum_{i=1}^n X_i}$$

## Question Two

### Part A

For a normal distribution, we have:

$$\begin{aligned} E[\bar{X}_n] &= \mu, & \text{Var}(\bar{X}_n) &= \frac{\sigma^2}{n} \\ E[\bar{Y}_m] &= \mu, & \text{Var}(\bar{Y}_m) &= \frac{\sigma^2}{m} \end{aligned}$$

We compute  $E[\hat{\mu}_1]$ :

$$E[\hat{\mu}_1] = E\left[\frac{\bar{X}_n + \bar{Y}_m}{2}\right] = \frac{E[\bar{X}_n] + E[\bar{Y}_m]}{2} = \frac{\mu + \mu}{2} = \mu$$

Similarly, we now compute  $E[\hat{\mu}_2]$ :

$$E[\hat{\mu}_2] = E\left[\frac{n\bar{X}_n + m\bar{Y}_m}{n + m}\right] = \frac{nE[\bar{X}_n] + mE[\bar{Y}_m]}{n + m} = \frac{n\mu + m\mu}{n + m} = \mu$$

Therefore, we find both estimators  $\hat{\mu}_1$  and  $\hat{\mu}_2$  are unbiased estimators of  $\mu$ .

### Part B

We first calculate the variance of  $\hat{\mu}_1$ . Since  $\bar{X}_n$  and  $\bar{Y}_m$  are independent:

$$\begin{aligned} \text{Var}(\hat{\mu}_1) &= \text{Var}\left(\frac{\bar{X}_n + \bar{Y}_m}{2}\right) = \left(\frac{1}{2}\right)^2 [\text{Var}(\bar{X}_n) + \text{Var}(\bar{Y}_m)] = \frac{1}{4} \left(\frac{\sigma^2}{n} + \frac{\sigma^2}{m}\right) \\ \text{Var}(\hat{\mu}_1) &= \frac{\sigma^2}{4} \left(\frac{1}{n} + \frac{1}{m}\right). \end{aligned}$$

Now, we find the variance of  $\hat{\mu}_2$ :

$$\hat{\mu}_2 = \frac{n}{n + m} \bar{X}_n + \frac{m}{n + m} \bar{Y}_m$$

Let  $a = \frac{n}{n + m}$  and  $b = \frac{m}{n + m}$ .

Since  $\bar{X}_n$  and  $\bar{Y}_m$  are independent:

$$\begin{aligned} \text{Var}(\hat{\mu}_2) &= a^2 \text{Var}(\bar{X}_n) + b^2 \text{Var}(\bar{Y}_m) = \left(\frac{n}{n + m}\right)^2 \frac{\sigma^2}{n} + \left(\frac{m}{n + m}\right)^2 \frac{\sigma^2}{m} \\ \text{Var}(\hat{\mu}_2) &= \frac{n^2 \sigma^2}{(n + m)^2 n} + \frac{m^2 \sigma^2}{(n + m)^2 m} = \frac{n \sigma^2}{(n + m)^2} + \frac{m \sigma^2}{(n + m)^2} \\ \text{Var}(\hat{\mu}_2) &= \frac{\sigma^2}{(n + m)^2} (n + m) = \frac{\sigma^2}{n + m} \end{aligned}$$

Therefore, we find the following:

$$\text{Var}(\hat{\mu}_1) = \frac{\sigma^2}{4} \left(\frac{1}{n} + \frac{1}{m}\right), \quad \text{Var}(\hat{\mu}_2) = \frac{\sigma^2}{n + m}$$

### Part C

The relative efficiency of  $\hat{\mu}_2$  to  $\hat{\mu}_1$  is defined as:

$$\begin{aligned} \text{RE} &= \frac{\text{Var}(\hat{\mu}_1)}{\text{Var}(\hat{\mu}_2)} \\ \text{Var}(\hat{\mu}_1) &= \frac{\sigma^2}{4} \left( \frac{1}{n} + \frac{1}{m} \right) = \frac{\sigma^2}{4} \left( \frac{m+n}{nm} \right) \\ \text{Var}(\hat{\mu}_2) &= \frac{\sigma^2}{n+m} \end{aligned}$$

Now, we compute the relative frequency:

$$\text{RE} = \frac{\text{Var}(\hat{\mu}_1)}{\text{Var}(\hat{\mu}_2)} = \frac{\frac{\sigma^2}{4} \left( \frac{m+n}{nm} \right)}{\frac{\sigma^2}{n+m}} = \frac{\frac{\sigma^2(n+m)}{4nm}}{\frac{\sigma^2}{n+m}} = \frac{(n+m)^2}{4nm}$$

Therefore, we arrive at our final answer of:

$$\text{Relative Efficiency} = \frac{4nm}{(n+m)^2}$$

### Part D

We find that an estimator with a smaller variance has greater efficiency since:

$$\text{RE} = \frac{\text{Var}(\hat{\mu}_2)}{\text{Var}(\hat{\mu}_1)} = \frac{4nm}{(n+m)^2}$$

We observe  $4nm \leq (n+m)^2$  for all positive integers. Therefore:

$$(n+m)^2 \geq 4nm \implies \frac{4nm}{(n+m)^2} \leq 1$$

We can simply observe  $\text{RE} \leq 1$ , meaning the following:

$$\text{Var}(\hat{\mu}_2) \leq \text{Var}(\hat{\mu}_1).$$

Finally, we arrive at our final conclusion of the estimator  $\hat{\mu}_2$  has a smaller variance and is therefore more efficient than  $\hat{\mu}_1$  based on relative efficiency.